

dence, because the bulk of the natural-gas output was being taken for manufacturing use and the business was subject to all the hazards of the fuel industry.¹³

The above exposition should make it plain that there are utilities and “utilities,” and that investors must not take stability for granted because an issue is marketed under this popular title. In particular they should shun these hybrid mixtures of electric or telephone services with industrial activities, because at bottom every such combination represents an attempt to sail under false colors.¹⁴

2. Use of the Prior-Deductions Method of Calculating Coverage. We have already indicated (Chap. 9) the fallacy involved in the calculation of interest coverage after the deduction of prior charges. This deceptive method seems now to have been abandoned, but the investor should be on his guard against its return. Furthermore, as we point out in Chap. 15, the practice, still continued, of stating earnings on investment preferred stocks as so many dollars per share, without reference to prior-interest charges, is in essence identical with the prior-deductions method of stating interest coverage.

3. Omission of Depreciation Charges in Calculating Coverage. No satisfactory reason can be advanced for the formerly widespread failure of the bond-offering circulars to deduct the depreciation allowance before computing the interest coverage. Depreciation is a real and vital element in the operating expense of a public utility. In the case of the typical well-established company, a good part of the annual depreciation reserve is actually expended for the renewal of worn-out or obsolete equipment, so that it cannot be claimed that depreciation is a mere bookkeeping concept which need not be taken seriously. There is naturally room for a divergence of opinion with respect to the proper amount of depreciation to charge in any situation; but if proper attention were given to the extremely important element of obsolescence, it is hardly likely that the

¹³ Hamilton Gas Company was an example of a business almost entirely industrial in character but financed on a public-utility basis. Result: bankruptcy and an appalling shrinkage in security values.

¹⁴ See Appendix Note 25 for examples.